

Project Bastion

UltraTech Cement Limited / J.K. Cement Limited · prepared 2026-07-02

DECLINE

Only 0% probability of Year-2 accretion — earnings risk outweighs strategic merit at this price.

-35.6%

YEAR-1 EPS IMPACT

0%

P(ACCRETIVE BY Y2)

₹-3,463 Cr

NET VALUE CREATED

+15.0%

OFFER PREMIUM

2 · Transaction Summary

Term	Value	Term	Value
Acquirer	UltraTech Cement Limited (ULTRACEMCO.NS)	Offer price	₹6,361.22
Target	J.K. Cement Limited (JKCEMENT.NS)	Premium to undisturbed	+15.0%
Negotiated stake	64%	Consideration	100% cash / 0% stock
Equity purchase (negotiated)	₹31,457 Cr	Implied EV / EBITDA	23.1x
Open offer (at 100% acceptance)	₹12,780 Cr	Implied P / E	49.5x

Premium at the 100th percentile of sector precedents (Merger Lab precedent DB; entries marked ILLUSTRATIVE pending filing verification).

3 · Strategic Rationale

- Consolidates grey-cement capacity in North India amid the post-RBI-2026 M&A wave
- Promoter block purchase (64%) with mandatory 26% open offer — full SAST mechanics on display
- Illustrative synergies from freight/clinker network optimization

4 • Regulatory Stack — RBI • SEBI SAST • CCI

4a • Sources & Uses across open-offer acceptance scenarios

₹ Cr	0% acceptance	50% acceptance	100% acceptance
Equity purchase (negotiated)	₹31,457 Cr	₹31,457 Cr	₹31,457 Cr
Open offer consideration	₹0 Cr	₹6,390 Cr	₹12,780 Cr
Refinance target debt	₹0 Cr	₹0 Cr	₹0 Cr
Transaction fees	₹472 Cr	₹568 Cr	₹664 Cr
Total uses	₹31,929 Cr	₹38,415 Cr	₹44,900 Cr
New acquirer stock	₹0 Cr	₹0 Cr	₹0 Cr
New bank debt	₹20,754 Cr	₹24,970 Cr	₹29,185 Cr
Balance-sheet cash	₹11,175 Cr	₹13,445 Cr	₹15,715 Cr
Total sources	₹31,929 Cr	₹38,415 Cr	₹44,900 Cr

4b • RBI acquisition-finance compliance (Amendment Directions 2026, at 100% acceptance)

Check	Value	Threshold	Status	Note
Bank debt $\leq$ 75% of acquisition value	66.0	$\leq$ 75%	PASS	New bank debt Rs 29,185 Cr funds 66.0% of the Rs 44,237 Cr acquisition value.
Acquirer equity contribution $\geq$ 25%	35.0	$\geq$ 25%	PASS	Stock + own cash contribute 35.0% of total funding of Rs 44,900 Cr.
Pro-forma consolidated D/E $\leq$ 3.0x	0.82	$\leq$ 3.0x	PASS	Combined debt Rs 59,123 Cr on pro-forma equity Rs 72,039 Cr = 0.82x.
Acquirer net worth $\geq$ Rs 500 Cr	72039.0	$\geq$ Rs 500 Cr	PASS	Acquirer net worth Rs 72,039 Cr.
3-year profitability track record	True	user-attested	PASS	Attested by user; verify against 3 years of audited financials.

Optimal mix is constrained: binding constraint(s) — Acquirer cash on hand. Year-1 accretion at the constrained optimum is -20.85%. Optimal mix: 0% cash / 100% stock, 62% of cash needs debt-funded → Year-1 -20.8%.

4c • SEBI Takeover Code (SAST 2011)

Acquiring 64% crosses the 25% threshold -> mandatory open offer for 26% of the target at the floor price (modeled at the Rs 6,361 offer price; real floor is the highest-of tests incl. 60-day VWAP).

- 0% acceptance: buy 0.00 Cr shares for Rs 0 Cr; post-offer holding 64.0%.
- 50% acceptance: buy 1.00 Cr shares for Rs 6,390 Cr; post-offer holding 77.0%. BREACHES 75% MPS — must sell down within 12 months or pursue delisting (requires 90%).
- 100% acceptance: buy 2.01 Cr shares for Rs 12,780 Cr; post-offer holding 90.0%. BREACHES 75% MPS — must sell down within 12 months or pursue delisting (requires 90%).

Between 25% and 75%, up to 5% per FY may be acquired without triggering a fresh open offer (creeping acquisition route).

4d • CCI merger control

Deal value Rs 31,457 Cr exceeds the Rs 2,000 Cr deal-value threshold (2024 amendment) — CCI approval required; expect ~150-210 days outer timeline, Green Channel possible if no overlaps.

5 • Accretion / Dilution Analysis

Year	Combined NI (₹ Cr)	Pro-forma shares (Cr)	Pro-forma EPS	Standalone EPS	Accretion / (Dilution)
Year 1	₹5,260 Cr	29.42	₹178.80	₹277.58	-35.59%
Year 2	₹5,464 Cr	29.42	₹185.73	₹277.58	-33.09%
Year 3	₹5,533 Cr	29.42	₹188.09	₹277.58	-32.24%

Break-even synergies (Year 1): ₹8,137 Cr vs ₹370 Cr assumed run-rate.

Target earnings yield at offer 2.0% vs blended after-tax financing cost 5.7% -> heuristic says DILUTIVE; engine Year-1 says DILUTIVE.

Contribution analysis

Metric	Acquirer %	Target %
Revenue	86.6	13.4
EBITDA	87.8	12.2
Net income	89.2	10.8
Pro-forma ownership	100.0	0.0

Target shareholders receive 0% ownership while contributing 11% of combined earnings (-11 pts) — premium justification required.

Sensitivity — Year-1 accretion %

Premium (rows) × run-rate synergies ₹ Cr (columns)

Premium % \ Synergies Cr	0.0	92.0	185.0	278.0	370.0	462.0	555.0	648.0	740.0
5.0	-23.95	-23.53	-23.10	-22.68	-22.26	-21.83	-21.41	-20.98	-20.56
7.5	-24.71	-24.29	-23.86	-23.44	-23.01	-22.59	-22.17	-21.74	-21.32
10.0	-25.47	-25.05	-24.62	-24.20	-23.77	-23.35	-22.93	-22.50	-22.08
12.5	-26.23	-25.80	-25.38	-24.96	-24.53	-24.11	-23.69	-23.26	-22.84
15.0	-26.99	-26.56	-26.14	-25.72	-25.29	-24.87	-24.44	-24.02	-23.60
17.5	-27.75	-27.32	-26.90	-26.48	-26.05	-25.63	-25.20	-24.78	-24.36
20.0	-28.51	-28.08	-27.66	-27.23	-26.81	-26.39	-25.96	-25.54	-25.12
22.5	-29.27	-28.84	-28.42	-27.99	-27.57	-27.15	-26.72	-26.30	-25.87
25.0	-30.02	-29.60	-29.18	-28.75	-28.33	-27.91	-27.48	-27.06	-26.63

% cash consideration (rows) × premium (columns)

% Cash \ Premium %	5.0	7.5	10.0	12.5	15.0	17.5	20.0	22.5	25.0
0	-9.82	-10.25	-10.67	-11.09	-11.51	-11.93	-12.35	-12.77	-13.18
10	-10.97	-11.43	-11.88	-12.34	-12.79	-13.23	-13.68	-14.13	-14.57
20	-12.15	-12.63	-13.12	-13.60	-14.08	-14.56	-15.04	-15.51	-15.99
30	-13.34	-13.86	-14.37	-14.88	-15.40	-15.91	-16.41	-16.92	-17.43
40	-14.55	-15.10	-15.65	-16.19	-16.74	-17.28	-17.82	-18.36	-18.90
50	-15.78	-16.36	-16.94	-17.52	-18.10	-18.67	-19.25	-19.82	-20.39
60	-17.04	-17.65	-18.26	-18.87	-19.49	-20.10	-20.70	-21.31	-21.92
70	-18.31	-18.96	-19.61	-20.25	-20.90	-21.54	-22.19	-22.83	-23.47

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90	-20.92	-21.64	-22.36	-23.08	-23.80	-24.52	-25.24	-25.96	-26.68
100	-22.26	-23.01	-23.77	-24.53	-25.29	-26.05	-26.81	-27.57	-28.33

5.5 · Value Creation Assessment

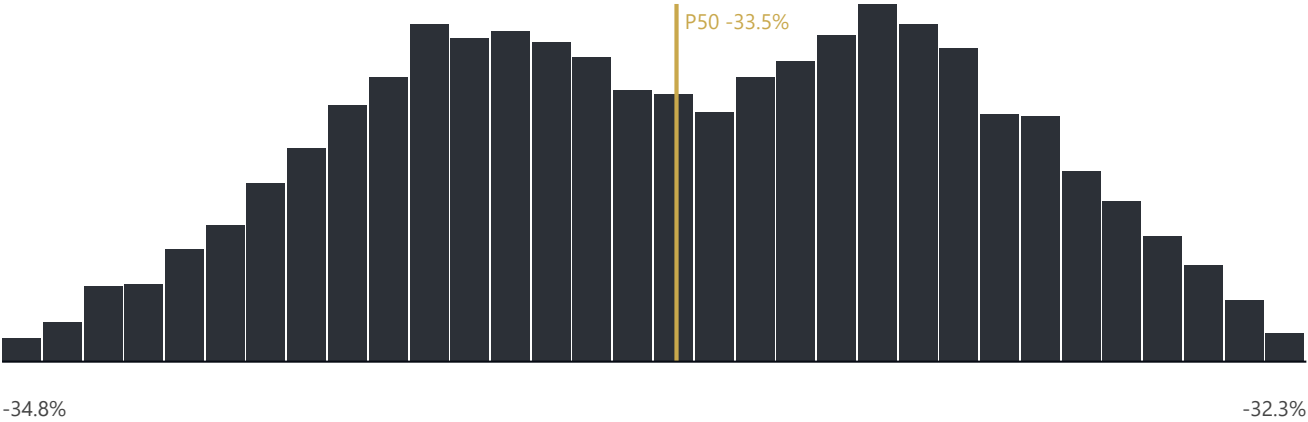
Bridge component	₹ Cr
PV of after-tax synergies (perpetuity at 12.0% WACC)	₹2,307 Cr
Control premium paid	(₹5,770 Cr)
Net value created / (destroyed)	₹-3,463 Cr

Incremental ROIC 2.6% vs WACC 12.0% — **returns below the cost of capital.**

6 · Risk Analysis

Probability of accretion by Year 2: 0% (P5: -34.4%, P95: -32.7%). Year-1: P5 -37.7% · P50 -36.0% · P95 -35.0%.

Year-2 accretion distribution (10,000 iterations)



Key risks

- CCI review of regional market-share concentration
- MPS breach at high open-offer acceptance forces sell-down or delisting attempt
- Cement cycle timing risk on acquired capacity

7 • Appendix — Methodology & Sources

- Engine: Year 1–3 pro-forma EPS vs standalone acquirer EPS held flat; combined NI = acquirer NI + owned% × target NI + after-tax phased synergies – after-tax new interest – after-tax foregone cash yield – after-tax incremental D&A – after-tax Year-1 integration costs.
- PPA: intangible write-up on excess over owned book value, DTL at deal tax rate, straight-line amortization; PP&E step-up out of scope.
- RBI: Commercial Banks – Credit Facilities (Amendment) Directions 2026 — 75% funding cap, 25% equity floor, 3:1 consolidated D/E, ₹500 Cr net worth, 3-yr profitability (user-attested). Verify against the master direction.
- SEBI SAST 2011: 25% open-offer trigger, minimum 26% offer size; floor modeled at deal offer price (real floor = highest-of tests incl. 60-day VWAP). MPS per SCRR 19A.
- Monte Carlo: 10,000 seeded iterations; synergies triangular (50/100/130% of base), integration costs lognormal, phase-in delay discrete.
- Value bridge: after-tax synergy perpetuity at user WACC (0% growth) less control premium on shares acquired.
- Data: yfinance (prices, financials), Screener.in exports (fundamentals fallback), curated precedent DB from SEBI SAST letters of offer and NSE/BSE filings. Debt cost anchored to RBI DBIE lending-rate publications; risk-free = 10Y G-Sec (CCIL/FIMMDA). No paid APIs, no scraping, no LLM calls.
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